

CAPITAL MARKETS

A 50% Leased Office Building Just Got \$228.9 Million in Fresh Debt

The refinancing of 295 Fifth Avenue reveals that capital is available for office assets with a credible path to stabilization, not just current occupancy.

July 22, 2026 · The Real Deal · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

What does a credit committee need to believe before approving a \$228.9 million loan on a building that is only half full?

The answer is not that occupancy will magically double. It is that the building has a credible path to stabilization, the sponsor has the capital and conviction to finish the repositioning, and the basis is low enough to absorb a slower lease-up than the pro forma projects.

That is the real story behind the refinancing of 295 Fifth Avenue, the 19-story Midtown South office tower known as the Textile Building. A partnership of PGIM, Tribeca Investment Group, and Meadow Partners secured a \$228.9 million floating-rate, interest-only bridge loan from Rialto Capital Management and Hines. The debt replaces a \$150 million loan from Deutsche Pfandbriefbank that was put in place in November 2022, shortly after the sponsors began a \$350 million capital improvements program.

The building is 50 percent leased. That is not a typo. It is the most revealing number in the transaction.

In a market where office lenders are demanding 70 percent or higher pre-leasing before committing capital, a 50 percent leased building securing \$228.9 million in fresh debt is a signal worth unpacking. It is not a signal that underwriting standards have collapsed. It is a signal that the lender is underwriting the trajectory, not the snapshot.

The trajectory includes two anchor tenants that give the building credibility. Bridgewater Associates, the world's largest hedge fund, leased 60,000 square feet in September 2024 for its first Manhattan office. Law firm Quinn Emanuel Urquhart & Sullivan relocated to 132,000 square feet in 2023, paying rents between \$95 and \$135 per square foot. Those are not distressed rents. They are premium rents for a building that has been repositioned with a ground-floor courtyard, terraces, hospitality amenities, and a two-story penthouse.

The \$350 million capital improvement program is the mechanism that changes the underwriting math. The sponsors did not ask the lender to finance a half-empty building. They asked the lender to

finance a building that has already been transformed and is now in the lease-up phase. The capital has been spent. The risk of construction delay or cost overrun is largely behind the project. What remains is leasing risk, and the lender is willing to take that risk because the basis is defensible and the sponsor group has depth.

There were reportedly several bidders to provide the debt. That is another revealing detail. In a market where office debt is scarce and expensive, multiple lenders competed for this assignment. They competed because the building sits on a full block along Fifth Avenue between East 30th and East 31st Streets, because the repositioning is complete, and because the sponsors have the balance sheet to support the lease-up without forcing the lender into a workout.

The floating-rate, interest-only structure is also worth noting. It gives the sponsors maximum flexibility during the lease-up period. They are not required to amortize principal or pay down the loan while they are still filling floors. The interest-only period is effectively a bridge to stabilization, after which the sponsors can refinance into permanent fixed-rate debt at a lower cost of capital.

Rialto and Hines are not making a charitable bet. They are making a calculated bet that the building's location, repositioning, and tenant roster will drive occupancy from 50 percent to something closer to 70 or 80 percent within the loan term. If they are right, the loan performs. If they are wrong, they have a first-mortgage position on a fully renovated Fifth Avenue asset with a basis that reflects the post-repositioning value, not the peak.

The broader market signal is that office debt is not dead. It is selective. Lenders are willing to finance assets that have a clear path to stabilization, strong sponsorship, and a basis that does not require heroic assumptions. They are not willing to finance buildings that need another round of capital just to stay competitive, or sponsors who lack the resources to support the lease-up.

Midtown South is the submarket that makes this deal work. In April, the submarket captured four of Manhattan's five largest office leases, accounting for nearly 45 percent of all leasing demand that month. Leasing activity across Manhattan reached 11 million square feet in the second quarter and 22.8 million square feet in the first half of the year, putting 2026 on pace to be the busiest leasing year

since 2000. The macro tailwind is real.

But tailwinds do not fill buildings. Tenants do. And tenants are choosing buildings that offer something the commodity office stock cannot: amenity-rich, repositioned space in a submarket with strong demand. The Textile Building now has that. The question is whether the remaining 50 percent of the building can be leased at rents that support the debt service and the sponsor's return expectations.

That is the question every credit committee asks. The ones that approved this loan answered it with a yes, based on the trajectory, not the snapshot. The ones that passed are waiting to see if the trajectory holds.

SOURCES

— The Real Deal —

<https://therealdeal.com/new-york/2026/07/21/owners-of-295-fifth-ave-push-for-revival-with-refinancing/>

LIGHT TOWER GROUP